

Oil Sinks to Three-Month Low in End-of-Day Stampede to Exits

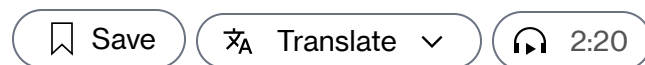
- OPEC sees moderate surplus amid seasonal lull next quarter
- WTI fell as much as 5.7% to trade below \$71 before settle



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Oil nosedived late in the session as ample crude supply balances and growing unease over the US economy's trajectory sent bulls fleeing.

Both Brent and West Texas Intermediate crude fell to three-month lows. The Organization of Petroleum Export Countries said it sees a modest surplus next quarter during a seasonal lull in demand. After prices settled, crude continued its descent, testing lows not seen since Dec. 2021.

The late-day plummet was “pretty astounding,” said Rebecca Babin, a senior energy trader at CIBC Private Wealth. Meanwhile, activity in the options market suggests traders are growing more bearish.

“Energy traders can’t find a reason to buy this dip until we get past the next round of inventory data,” said Ed Moya, a senior market analyst at Oanda. “Rising stockpiles are expected and that could keep oil vulnerable over the next 24 hours,”

Oil Falls as Worries About US Economy Persist

WTI settled around \$71 on ample supplies and macro concerns



Crude has had a bumpy year so far as traders juggle concerns over a global economic slowdown and careful optimism regarding China's demand rebound. Inflation accelerated last month, raising the question as to whether the Federal Reserve would feel pressure to raise rates at its meeting next week despite ongoing financial turmoil in the banking system.

Traders will be watching price action to see if the flat price is supported at recent lows. "If buyers don't show up soon and support oil at \$70, we can see an air pocket lower to \$62," said Jc O'Hara, the chief technical strategist at Roth Mkm.

US inventory data is scheduled to be published Wednesday morning. The International Energy Agency also releases its snapshot on the outlook for supply and demand on Wednesday.

Prices:

WTI for April delivery fell \$3.47 to settle at \$71.33 a barrel in New York.

Brent for May settlement dropped \$3.32 to settle at \$77.45 a barrel.

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